

FACULTATIVE REINSURANCE OFFER - PROPERTY (FLOOD)

Offer

Reference: RF-SAMPLE-A-2027

Cedant: Lakeside General Insurance Ltd (fictional)

Broker: Nzoia Risk Brokers Ltd (fictional)

Reinsurer approached: Kenya Re

Period: 1 January 2027 to 31 December 2027

The insured

Insured: Mukhobola Fresh Dairy Co-operative Ltd (fictional)

Occupancy: milk collection, pasteurisation and cold storage

Location: Mukhobola village, Budalangi, Busia County

GPS: 0.0823 N, 34.0280 E

The site sits on the eastern edge of the Nzoia flood plain, on ground about 1 m above the surrounding fields.

Buildings

Building 1 - Processing hall. Construction: reinforced concrete frame with concrete block walls. Floor area: 1,200 m². Floor level: raised 0.6 m above ground on a concrete plinth. Sum insured: KES 96,000,000. Condition: good.

Building 2 - Cold store. Construction: reinforced concrete frame with insulated panel walls. Floor area: 400 m². Floor level: raised 0.6 m above ground on a concrete plinth. Sum insured: KES 38,000,000. Condition: good.

Building 3 - Administration block. Construction: brick masonry walls. Floor area: 250 m². Floor level: plinth raised 0.3 m. Sum insured: KES 14,000,000. Condition: good.

Building 4 - Generator and boiler house. Construction: concrete block walls. Floor area: 80 m². Floor level: at ground level. Sum insured: KES 5,500,000. Condition: good.

Contents

Machinery - pasteurisation and packing line, in the processing hall: KES 62,000,000

Stock - finished milk products and packaging, in the cold store: KES 18,000,000

Machinery - standby generators and boiler, in the generator and boiler house: KES 9,000,000

Total sum insured (buildings and contents): KES 242,500,000

Flood history (15 years of records, 2011 to 2025)

2020 long rains: water reached 0.35 m in the compound; no water entered the raised buildings. Clean-up cost KES 180,000, below the deductible.

No other flood losses in the record.

Risk management

Flood warning plan linked to the river gauge upstream, with a named duty officer.

Stock kept on pallets; generators and boiler serviced before each rainy season.

Perimeter drainage cleared every March and September.

Terms offered

Flood deductible: KES 1,000,000 each and every flood event

Flood limit: KES 120,000,000 any one event

Share offered to Kenya Re: 40%

Flood premium (100%): KES 3,400,000

Broker's recommendation

We recommend acceptance: the main buildings are raised and the site has had no damaging flood in 15 years.

Contacts

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